Factory Assessment Report

Sustainable Compliance Initiative (SCI)

Companies that join the Fair Labor Association (FLA) agree to uphold the FLA Workplace Code of Conduct throughout their entire supply chain. The Code of Conduct is based on International Labour Organization (ILO) standards, and defines labor standards that aim to achieve decent and humane working conditions.

FLA member(s)	adidas - 3
Country	Cambodia
Assessment Date	9/8/2025
Assessment Company	OneStep Viet Co., Limited - 200005

Workforce Summary

Number of Workers	1321
Percentage female	58 %
Primary Languages	Khmer, English, Chinese

Wage Data information

Monthly minimum wage in country at time of assessment	The legal monthly minimum wage in Cambodia in 2024 is 204 USD.
GLWC living wage benchmark for the country or relevant region at time of assessment	The GLWC living wage gross benchmark for Urban Cambodia in 2024 is 232 USD.

Assessment Summary

Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	0
Health, Safety And Environment (HSE)	13
Employment Relationship (ER)	2
Hours Of Work (HOW)	1
Harassment Or Abuse (HA)	1
Freedom Of Association And Collective Bargaining (FOA)	1
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	1

Violations per Category	Violated Benchmarks
Immediate Action Required	18
Sustainable Improvement Required	1
Uncorroborated Risk of Non-Compliance	0
Notable Feature	0

24-Hour Findings Summary

24h Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	0
Health, Safety And Environment (HSE)	5
Employment Relationship (ER)	0
Hours Of Work (HOW)	0
Harassment Or Abuse (HA)	1
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	0



Details 24h Findings

Benchmark	Harassment Or Abuse (HA)
Benchmark ID	H/A.10.1.2
Benchmark Details	Body searches and physical pat downs shall only be undertaken when there is a specific, legitimate reason to do so and upon consent of workers, unless a state official with the power to do so (e.g. police officer) has ordered the search.
Finding Details	(24hr) WCDB_BS_Q02 - Are body searches undertaken upon a legitimate reason and upon workers' consent? Answer: No, 24h Finding Explanation: Body search is conducted while the workers entering the production buildings and leaving the production buildings as general daily practices, instead of being undertaken when there is a specific, legitimate reason to do so and upon consent of workers, unless a state official with the power to do so (e.g. police officer) has ordered the search. In addition, female security guards conduct body search to male workers when there are less male security guards to conduct the body search to male workers.

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.4.1
Benchmark Details	Employers shall at all times be in possession of all legally required and valid permits and certificates related to health, safety, and environmental issues, such as: Purchase and storage of chemicals; Fire safety inspections; Machinery inspections; Waste disposal; Environmental licenses/permits;Sanitation permits, including those required for canteens; and Vehicle inspection and driver permits for all employer provided transportation.

Finding Details	(24hr) HSEB_GC_Q02 - Does the factory have all legally required permits and certificates related to health, safety and environment aspects? Answer: No, 24h Finding Explanation: 1) The facility maintains the closing construction permit issued on February 14, 2020. According to the legal requirements, the closing construction building has validation for 5 years. However, the facility does not maintain building inspection. In addition, in September 2020, the facility added the mezzanine (2 floors) at the supermarket building, the size was approximately 996 square meters; however, the facility does not maintain any construction permits for their renovations as per legal requirements. 2) Two out of five selected securities do not have refreshing health examination certificate. The waste disposal permits were still under process, waiting for approval such as solid waste permit, wastewater permit, hazardous waste permit, and air emission permit. The facility has applied for those permits since August 12, 2025.

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.5.1.3
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following elements: installation and maintenance of emergency lighting
Finding Details	(24hr) HSEB_FE_Q18 - Are exit signs lighted when the power goes out? Answer: No, 24h Finding Explanation: Two out of five tested emergency lights and two out of five tested exit signs are not functioning during testing at the sewing section and the supermarket area.

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.5.1.4
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following: ensuring aisles/exits are not blocked and that workers are not blocked within their workstations
Finding Details	(24hr) HSEB_FE_Q17 - Are emergency exits free from obstruction? Answer: No, 24h Finding Explanation: The emergency exit is not fully available because: a. One out of three exit staircases is fully obstructed by materials at the supermarket area. b. At least 5 exit aisles are fully and partly obstructed by trolleys at the production area.

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.5.1.2
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following elements: installation and maintenance of fire alarms;
Finding Details	(24hr) HSEB_FE_Q24 - Does the factory have a functional emergency alarm system to notify workers of emergencies? Answer: No, 24h Finding Explanation: During testing, the fire alarm system is not fully functioning because: a. The fire alarm control panel of expat dormitory has been broken and out of order due to spark since June 2025. The factory management shared that they has contacted with the service company to fix it; b. There are three (03) faults indicated on the fire alarm panel in the production area: two alarm faults at the canteen and production room, and one wiring fault at the A7 entrance; c. The mezzanine (2 floors) is installed at the supermarket area, the size is approximately 996 square meters. However, there is no smoke detector installed at the first floor and the second floor. The smoke detector installed at the original rooftop only. d. One out of 5 tested smoke detectors is not functioning at thread storage e. All visual alarms (beacon lights) are not functioning at third floor of the expat dormitory. Remark: the audial alarm is well functioning.

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.6.1
Benchmark Details	All safety and medical equipment (e.g. fire fighting equipment, first aid kits) shall be available in sufficient numbers throughout the workplace, maintained and stocked as prescribed, and easily accessible to workers.
Finding Details	(24hr) HSEB_FE_Q13 - Is all fire equipment inspected and maintained regularly? Answer: No, 24h Finding Explanation: During testing, the firefighting system is not fully functioning because: a. All of three firefighting pumps cannot operate during testing. Currently, the factory shares the firefighting pump with D'luxe International Co., Ltd – the sister company; b. Two out of three tested fire hose reels cannot connect with the nozzle; c. One out of 20 observed fire extinguishers is out of order due to low pressure.

Assessment Results

Compensation (C)	
Benchmark ID	C.1.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning the payment of compensation to workers.
Finding Details	(1) Approximately 695 workers (approx 260 of them female) have been moved from the audited factory to a sister factory since September 01, 2024. Upon the termination of contract at the audited factory, the workers' un-used annual leave, seniority indemnity, and severance payments were not paid to the terminated workers. However, records shared by the sister factory indicate that the workers did receive the payouts for un-used annual leave, seniority indemnity, and severance payment based on their original contract and wages from the audited factory. Payroll records and meeting records (acknowledged and witnessed by the Ministry of Labor) indicate that in fact the un-used annual leave, seniority indemnity, and severance payments, including the wage of the existing workers at the sister factory, had been rolled over and remained the same from workers' original contract with the audited factory. (2) The original facility did not comply with legal requirements related to terminating contracts. The minimum period of prior notice from the facility to these workers was less than legal requirement, and there has been no compensation of earlier prior termination paid to terminated workers.
Recommendations for Immediate Action	1) Pay workers for unused annual leave, seniority indemnity, and severance payment as legally required. 2) Follow legal regulations on prior notice before termination.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Cambodia Labor Law dated 13 March 1997, Article 74, 75 and 168

Employment Relationship (ER)	
Benchmark ID	ER.7.1

Benchmark Details	Employers shall have written policies and procedures with regard to performance reviews that outline the review steps and process, demonstrate linkages to job grading, prohibit discrimination, are provided in writing and seek feedback and agreement/disagreement from employees in writing, and that follow all local legal requirements.
Finding Details	The facility does not conduct performance reviews for existing workers. The only performance reviews are those for probationary workers.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.11.2
Benchmark Details	Employers must ensure the following minimum terms and conditions are met in the employment of contract/contingent/migrant/temporary workers: Contract/contingent/migrant/temporary workers shall be provided an employment agreement in their native language setting out the employment terms and conditions. for migrant workers, a copy of their employment contract in their native language shall be provided prior to departure from their country of origin;
Finding Details	Security personnel (employed by a service provider) explained that they signed labour contracts with their employer. However, they have not received copies of the counter-signed labor contract.
Recommendations for Immediate Action	Obtain and store the employment contract and personnel info for all onsite workers, including those employed by third parties.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Cambodia Labor Law dated 13 March 1997, Article 45

Harassment Or Abuse (H/A)

Benchmark ID	H/A.10.1.2

Benchmark Details	Body searches and physical pat downs shall only be undertaken when there is a specific, legitimate reason to do so and upon consent of workers, unless a state official with the power to do so (e.g. police officer) has ordered the search.
Finding Details	Body searches are conducted when workers enter and leave production buildings as a general daily practice, instead of being undertaken when there is a specific, legitimate reason to do so and upon the consent of workers. In addition, female security guards conduct body searches on male workers when there are fewer male security guards.
Recommendations for Immediate Action	Ensure that body searches are conducted only when there is a legitimate reason and with the worker's consent, unless a state official with the power to do so (e.g. police officer) has ordered the search. Perform all body searches by a person of the same gender.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	

Health, Safety And Environment (HSE)

Benchmark ID	HSE.14.1
Benchmark Details	All production machinery, equipment and tools shall be properly guarded and regularly maintained.
Finding Details	(1) All three manual metal cutting and grinding machines are installed without safety guards in the maintenance room. (2) One out of two observed mobile staircases/ladders had a non-functioning wheel locking mechanism.
Recommendations for Immediate Action	(1) Install proper guards for hazardous machines. Monitor operators to use installed guards properly during their operation. (2) Provide proper safety mechanism (e.g. wheel lock, handrail, etc.) for moving stairs.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	1) Cambodia Labor Law dated 13 March 1997, Article 230 2) N/A

Benchmark ID	HSE.18.1
Benchmark Details	Medical facilities shall be established and maintained in factories as required by applicable laws.

Finding Details	The medical staff at the factory's infirmary room is insufficient under local law. There is 1 full-time nurse and 1 full-time doctor during the day shift, and 1 full-time nurse during the night shift. However, under local law the facility should have 2 nurses and 1 doctor during the day shift.
Recommendations for Immediate Action	Recruit sufficient medical staff for clinic facility (hire 1 more full-time nurse).
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Cambodia Labor Law dated 13 March 1997, Article 242

Benchmark ID	HSE.5.1.2
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following elements: installation and maintenance of fire alarms;
Finding Details	During testing, the assessment found that the fire alarm system is not fully functioning: a. The fire alarm control panel in the expat dormitory has been broken and out of order since June 2025. Factory management explained that they have contacted the service company to fix it; b. There are three (03) faults indicated on the fire alarm panel in the production area: two alarm faults at the canteen and production room, and one wiring fault at the "A7" entrance; c. There are no smoke detectors installed on the first or second floor of the mezzanine (2 floors in the supermarket area, approx. 996 square meters). A smoke detector is installed on the original rooftop only. d. 1 out of 5 tested smoke detectors was not functioning in the thread storage area. e. All visual alarms (beacon lights) were not functioning on the third floor of the expat dormitory. The aural/loudspeaker alarm was functioning.
Recommendations for Immediate Action	(1) Install fire alarm systems properly in all required areas; (2) Ensure that the fire alarm system functions properly at all times.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Law on Administration of Factory and Handicraft (2006), Article 26

Benchmark ID	HSE.5.1.3

Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following elements: installation and maintenance of emergency lighting
Finding Details	During tests, two out of five emergency lights and two out of five exit signs were found non-functioning at the sewing section and the supermarket area.
Recommendations for Immediate Action	Ensure that emergency lighting functions properly, including when there is no power.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Law on Administration of Factory and Handicraft (2006), Article 26

Benchmark ID	HSE.5.1.4
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following: ensuring aisles/exits are not blocked and that workers are not blocked within their workstations
Finding Details	The emergency exit is not fully available because: a. One out of three exit staircases is fully obstructed by materials at the supermarket area. b. At least 5 exit aisles are fully or partly obstructed by trolleys at the production area.
Recommendations for Immediate Action	Keep all emergency exits and evacuation routes free from obstruction at all times.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	

Benchmark ID	HSE.17.1
Benchmark Details	Workstations, including seating and standing arrangements and reach required to obtain tools, shall be designed and set-up in such a manner as to minimize bodily strains.
Finding Details	At least 3 workers who stand at their workstations (ironing workers, label automatic-sewing machines) are not provided with standing mats. Some mats are in place for other workers.
Recommendations for Immediate Action	Provide standing mats to all workers who stand to perform their tasks to reduce stress or injuries.

Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Prakas No. 125 dated on 15 June, 2001 by the Ministry of Labor, Article 4

Benchmark ID	HSE.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning health, safety, and the environment.
Finding Details	(1) The facility does not have an indoor air quality and noise disturbance permit. The facility applied for this permit on August 12, 2025. (2) The assessment observed at least 3 cups of used chemicals (ink) stored in a normal solid waste area, instead of in the designated hazardous waste storage area. (3) Two out of five sampled security workers do not have up to date health examination certificates on file. (4) The facility has not conducted an asbestos assessment.
Recommendations for Immediate Action	(1) Maintain valid indoor air quality and noise disturbance permits. (2) Classify and store all hazardous wastes in designated area. (3) Provide new health examinations for onsite workers to keep their certificates up to date and on file. (4) Conduct an asbestos identification assessment and take appropriate action.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	1) Royal Decree NS/RKM/1296/36 issued on December 24, 1996 regarding law on Environment Protection and Natural Resource Management. And Anu Kret #42 GNKR.BK issued on July 10, 2000 regarding Air Pollution and Noise Disturbance; 2) Decree on solid waste management, chapter 3, hazardous waste management, article 13 3) Prakas No. 429/20, Article 5 4) N/A

Benchmark ID	HSE.4.1

Benchmark Details	Employers shall at all times be in possession of all legally required and valid permits and certificates related to health, safety, and environmental issues, such as: Purchase and storage of chemicals; Fire safety inspections; Machinery inspections; Waste disposal; Environmental licenses/permits;Sanitation permits, including those required for canteens; and Vehicle inspection and driver permits for all employer provided transportation.
Finding Details	(1) The facility has on file the closing construction permit issued on February 14, 2020. According to legal requirements, the closing construction permit is valid for 5 years. The facility does not maintain building inspection records. In addition, in September 2020, the facility added a mezzanine (2 floors) in the supermarket building, of approximately 996 square meters. The facility does not maintain any construction permits for these renovations, as is legally required. (2) The factory's waste disposal permits are still in processing - the solid waste permit, wastewater permit, hazardous waste permit, and air emission permits are all waiting for approval. The facility applied for those permits on August 12, 2025.
Recommendations for Immediate Action	(1) Apply for updated renovation permits from the relevant authorities, covering all renovations to the factory. (2) Keep the valid solid waste permit, wastewater permit, hazardous waste permit, and air emissions permit up to date and on file.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	1) Preah Reach Kram Preah Reach Kram/04NS94/10Aug94, enacted on May 24, 1994, Article 14 2) Sub-decree 36 on Solid Waste Management dated on April 07, 1999, Article 7

Benchmark ID	HSE.6.1
Benchmark Details	All safety and medical equipment (e.g. fire fighting equipment, first aid kits) shall be available in sufficient numbers throughout the workplace, maintained and stocked as prescribed, and easily accessible to workers.

Finding Details	(1) There is no fire extinguisher stationed at the motorbike parking area. This area is around 500 square meters. (2) During testing, the firefighting system was found not fully functional: a. All three tested firefighting pumps could not operate during testing. Currently, the factory shares the firefighting pump with a sister company; b. Two out of three tested fire hose reels cannot connect with the nozzle; c. One out of 20 observed fire extinguishers is out of order due to low pressure.
Recommendations for Immediate Action	(1) Equip sufficient and adequate fire fighting equipment. (2) Inspect firefighting equipment regularly and replace the damaged firefighting equipment to ensure their functioning.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Law on Administration of Factory and Handicraft (2006), Article 26

Benchmark ID	HSE.19
Benchmark Details	All facilities including workplace buildings, toilets, canteens, kitchens, and clinics, shall be kept clean and safe and be in compliance with all applicable laws, including relevant sanitation, medical, and safety and health regulations.
Finding Details	All (15) randomly selected waste bins in the restroom area did not have covers to ensure sanitation.
Recommendations for Immediate Action	Equip cover for waste bins to ensure the sanitation.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	

Benchmark ID	HSE.20
Benchmark Details	Employers shall establish the number of toilets required under applicable laws within reasonable distance of the workplace. In addition, the following should also be considered: number of toilets based on number of workers, privacy for each individual and gender, accessibility and hygiene.
Finding Details	One out of four urinals in the men's restroom was clogged at the time of the assessment.
Recommendations for Immediate Action	Provide a proper drainage system and keep restrooms in clean working order.

Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Prakas 052/00, Article 3 and 4

Benchmark ID	HSE.13
Benchmark Details	All necessary ventilation, plumbing, electrical, noise and lighting services shall be installed and maintained to conform to applicable laws and to prevent or minimize hazardous conditions to workers in the facility.
Finding Details	The assessment observed electrical wires connected using duct tape at the maintenance room, which can cause electrical hazards.
Recommendations for Immediate Action	Use proper equipment (e.g. tube connectors) for electrical connections.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	

Benchmark ID	HSE.5.3
Benchmark Details	Alarm systems shall be regularly tested and evacuation drills shall be undertaken at least annually.
Finding Details	The facility has not conducted emergency evacuation drills/trainings and firefighting drills/trainings during the night shift. Note: The night shift started its operation in January 2025. The factory's last evacuation drill and firefighting training was on June 21, 2025.
Recommendations for Immediate Action	Conduct the emergency drill and fire fighting training to all workers at both shifts.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Cambodian Labour Law, Article 230

Hours Of Work (HOW)

Benchmark ID	HOW.15

Benchmark Details	Employers shall not impose any sanction on workers for requesting or taking any type of leave, such as annual, sick, or maternity, in line with all applicable rules and procedures.
Finding Details	Three out of five sampled pregnant workers do not take the 15-minute, twice per day breaks stated by local law. The assessment did not find that pregnant workers are being restricted from taking the breaks.
Recommendations for Immediate Action	Pregnant workers shall be allowed a 15-minutes break twice per day and encouraged to utilize it.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Cambodia Labor Law dated 13 March 1997, Article 184

Freedom Of Association And Collective Bargaining (FOA)

Benchmark ID	FOA.1.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning freedom of association and collective bargaining. national laws, rules, and procedures protecting the rights of workers to organize and bargain collectively. Where local laws and FLA standards differ, the employer is expected to follow the highest applicable standard.
Finding Details	More than half of the factory's shop steward representatives are no longer in place at the audited facility, because they have moved to the sister factory (see finding C.1.1) and have not been replaced. Note: the last shop steward election was on December 12, 2023.
Recommendations for Immediate Action	Ensure all their shop steward representatives are sufficient at the facility.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Cambodia Labor Law dated 13 March 1997, Article 283, 284, 291